LEGESI INVESTMENT LENS • OCTOBER 2026

Quickmart IPO
Five things investors must weigh

KES 7.50 is the price. What is the underlying cash flow worth?

IPO	BEAR DCF	BASE DCF	BULL DCF
7.50	1.18	5.10	9.51

Five questions before you subscribe

① **Who receives the money?** Existing holders. KES 15bn gross secondary sale; Quickmart receives no new equity.

② **Are earnings cash?** FY2025 CFO KES 4.83bn; cash capex and lease principal materially reduce shareholder cash flow.

③ **Is the dividend sustainable?** FY2025 dividends exceeded statutory earnings; growth and distributions compete for cash.

④ **Is it cheap versus peers?** IPO 14.3x FY2026E reported P/E versus 17.7x international sample median; adjust for risk, scale and leases.

⑤ **What does a cash-flow model say?** Analyst scenarios imply KES 1.18–9.51; high terminal-value sensitivity, not a firm price target.

> **Current stance: WATCH / DEFER.** Underwrite cash after leases and reinvestment, not headline EBITDA or a projected dividend yield. Review the full independent report before committing capital.

Sources: Quickmart Information Memorandum (Oct 2026), pp. 115–137 and 148–150; EY Reporting Accountant (29 Sep 2026); FY2025 audited financials; Stanbic valuation parameters (22 Sep 2026). Scenario outputs are analyst assumptions. See full report for references.